ArthVruksh FQS Model — Backtest Results

Top-ranked funds at each historical decision date, checked against what actually happened over the next 5 years.

How to read this: at each date below, the model ranked funds using only data available up to that date (no future information used). "Top-decile" = the top 10% ranked funds. "Goal-hit %" = share of those funds whose actual 5-year return met the target for their category.

1. The Real Test — Two Independent 5-Year Periods

The model has monthly data going back to 2013, but a 5-year SIP test needs a full 5 years to play out before it can be graded — and each 5-year window overlaps the next if they start less than 5 years apart. So most of the monthly re-runs are really re-testing the same market history, not independent trials. Only two decision dates in the data are far enough apart to be genuinely independent, non-overlapping tests: **30-Apr-2013** (graded on what happened 2013–2018) and **30-Apr-2018** (graded on what happened 2018–2023). These are the only two numbers in this report that count as real, separate evidence.

Decision Date	Funds Ranked	Top-Decile Avg. Return (5yr)	Category Avg. Return (5yr)	Top-Decile Goal-Hit %	Category Goal-Hit %
30-Apr-2013	95	1.54x	1.46x	100%	73%
30-Apr-2018	150	1.51x	1.41x	71%	50%

In both independent periods, top-decile picks beat the category average on both average return and goal-achievement rate. That's 2 out of 2 — a real, positive signal, but a sample size of 2 is not enough to call this statistically proven. It needs more decades of live data (or more funds with longer histories) to accumulate more independent 5-year periods before that claim can be made with confidence.

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2. Supporting Detail — Overlapping Snapshots, Not Independent Evidence

> The tables below re-run the same test monthly (100 times) and show 8 of those as annual snapshots. They are useful to see whether the pattern holds up across different starting points and market cycles, but because their 5-year windows overlap heavily with each other, they should NOT be read as 100 (or 8) separate proofs — they are closer to 2–3 independent tests' worth of information, repeated with a sliding start date. Treat this section as descriptive context only.

2a. Year-by-year (8 overlapping annual snapshots)

Decision Date	Funds Ranked	Top-Decile Avg. Return (5yr)	Category Avg. Return (5yr)	Top-Decile Goal-Hit %	Category Goal-Hit %
2013	97	1.29x	1.25x	11%	4%
2014	117	1.21x	1.19x	0%	0%
2015	131	1.33x	1.31x	15%	19%
2016	139	1.64x	1.55x	100%	83%
2017	148	1.55x	1.45x	87%	65%
2018	152	1.85x	1.65x	100%	88%
2019	152	1.88x	1.67x	100%	89%
2020	152	1.49x	1.42x	50%	61%

Note: 2013 and 2018 here are the same two independent points shown in Section 1 — 2014–2020 are the overlapping, non-independent repeats.

2b. By fund category (pooled across all 100 overlapping monthly runs)

Category	Top-Decile Avg. Return	Category Avg. Return	Top-Decile Beats Category?
ELSS	1.37x	1.44x	No
Flexi Cap	1.38x	1.44x	No
Hybrid	1.22x	1.31x	No
Large Cap	1.45x	1.42x	Yes
Mid Cap	1.63x	1.54x	Yes
Multi Cap	1.39x	1.50x	No
Small Cap	1.72x	1.61x	Yes

Data: 164 equity & hybrid funds. Every prediction used only NAV data available up to its decision date; future NAVs were unlocked only afterward, to grade the outcome. Section 1 is the statistically honest headline. Section 2 is repeat-testing on overlapping history and is included for pattern-checking only.